Type MS · Applying a percentage: interest, tax and tariffs

Answer 1 of 6 · Question 1 part e · 2 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 marks** C Voluntary	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** D Recovery	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to monetary authority and 1 mark for reference to its functions The monetary authority that manages a country's money supply **(1)** and interest rates/banking system **(1)** Accept any other appropriate response	**(2)**

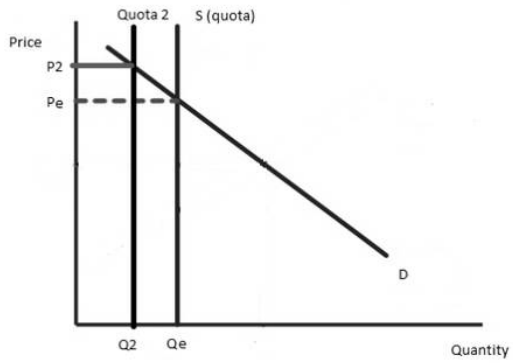
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference harming domestic businesses and 1 mark for reference to competition from foreign businesses Domestic businesses can go out of business **(1)** if products from foreign businesses are better/cheaper **(1)** Accept any other appropriate response	**(2)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 1 of 6 · Question 1 part e · 2 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question Number	**Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 21 000 – (1 500 x 20%) **(1)** Award 1 mark for the correct answer = €20 700 **(1)** Award 2 marks if the correct answer €20 700 is shown, with € sign, even if no calculations are shown Award 1 mark if correct answer 20 700 is shown, but with no € sign, even if no calculations are shown Do not award marks for the formula	**(2)**

Question Number	**Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of perfectly inelastic supply curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 1 of 6 · Question 1 part e · 2 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question Number	**Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • The impact is that wages do not buy the same amount of goods **(1)** this is because prices are rising at a faster rate than wages **(1).** To prevent this wages need to rise such as the recent increase in Mexico **(1)** • The impact might be limited **(1)** if wages for some workers in Mexico are linked to inflation **(1).** This means that the standard of living remains the same if wages are keeping up with inflation **(1)** Accept any other appropriate response	**(3)**

Question Number	**Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trade blocs are usually groups of countries in specific regions that manage and promote trade activities • This can result in more free trade between member countries • This can benefit member countries in the AfCFTA because they have access to a wider market which will consist of 1.2bn people • GDP for the trade bloc is expected to be $2.5 trillion. • Firms in the trade bloc may be able to exploit economies of scale or specialisation can occur • Prices may be cheaper due to a reduction of tariffs and quotas • Consumers may benefit with lower prices and/or greater choice of goods and services • Being a member of the AfCFTA trade bloc may attract increased FDI	**(6)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 1 of 6 · Question 1 part e · 2 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Applying a percentage: interest, tax and tariffs

Answer 1 of 6 · Question 1 part e · 2 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Applying a percentage: interest, tax and tariffs

Answer 2 of 6 · Question 4 part a · 2 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for calculating the tariff Award 1 mark for calculating the final selling price in ¥ for 2018 225 x 0.08 = 18 **(1)** 225 + 18 = ¥ 243 **(1)** Award 2 marks if the final selling price is accurately calculated, with ¥ symbol with no workings shown Do not award marks for the formula	**(2)**

Question Number	Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A current account surplus means an economy is exporting a greater value of goods and services than it is importing • China's current account has been in surplus with a high of over $900bn in January 2016 • China's current account surplus benefits the country in terms of employment as higher export sales help to create jobs • This encourages economic growth and a higher GDP • This is likely to result in a higher standard of living for China • China's current account surplus will mean that it will have surplus foreign exchange it can use to invest in other countries	**(6)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 2 of 6 · Question 4 part a · 2 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Applying a percentage: interest, tax and tariffs

Answer 2 of 6 · Question 4 part a · 2 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • There will be a reduction in prices of imports for Chinese consumers now that the average tariff has been reduced from 17.3% to 7.7% • There would be an increase in competition for domestic firms which may encourage them to become more efficient • Chinese consumers will not only have a greater choice but may have access to better quality goods which cannot currently be met domestically • Chinese consumers would see an increase in living standards overall • If China reduces its tariffs other countries may do the same which would make it easier for China to export more goods **AO4** • However, tariffs can be a good way to protect Chinese infant industries which may now face increased competition from cheaper imports from MNCs such as Nestle or Proctor & Gamble • This may result in an increase in unemployment in Chinese firms who make consumer products • Tariffs are also a good way to gain revenue for the Chinese government and this will be reduced as tariff rates have fallen from an average of 17.3% to 7.7% • Reducing tariffs may also reduce the surplus on the current account balance as more consumers buy imported products • However, the overall impact on the Chinese economy may be limited as it also depends on whether Chinese consumers do switch to imported goods rather than buy Chinese products • It may not have a great impact as only 200 products are involved	**(12)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 2 of 6 · Question 4 part a · 2 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Applying a percentage: interest, tax and tariffs

Answer 2 of 6 · Question 4 part a · 2 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

Type MS · Applying a percentage: interest, tax and tariffs

Answer 3 of 6 · Question 4 part a · 2 marks

2021 JUN · Paper 02 · extract 1 of 4 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the interest on savings (¥8 000 ÷ 100) × 2.25 **(1)** = ¥180 **(1)** Award 2 marks for the correct answer of ¥180 is accurately calculated with no workings shown Award 1 mark if the answer given is 180 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 3 of 6 · Question 4 part a · 2 marks

2021 JUN · Paper 02 · extract 2 of 4 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of inflation on individuals in a country such as China. Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Inflation is the rate at which the general level of prices for goods and services is rising within an economy • The current inflation rate is 2.8%, an increase on the previous month, which reduces the purchasing power of consumers if wages do not keep up with inflation • This may make goods and services too expensive for many people • Many individuals might not be able to afford as much as they used to • Shoe leather costs may increase as consumers must shop around to find the best deals on food and other products due to the increase in the rate of inflation

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Applying a percentage: interest, tax and tariffs

Answer 3 of 6 · Question 4 part a · 2 marks

2021 JUN · Paper 02 · extract 3 of 4 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the effectiveness of monetary policy in controlling inflation in a country such as China. Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and control of the money supply to manage demand in the economy • Monetary policy can be used to reduce inflationary pressures in China by the PBOC increasing interest rates • An increase in interest rates tends to reduce spending and investment in the economy thus slowing down economic activity and reducing inflationary pressure • There might be a greater reward for saving which may discourage consumers from spending helping to reduce demand in the economy • A rise in interest rates may increase the value of the currency which could result in cheaper imports and therefore reduced inflation **AO4** • However, there can be time lags for the increase in interest rates to filter through the Chinese economy • Increasing interest rates may raise the cost of production for firms which may have an even greater negative impact on prices • The effectiveness will depend upon the type of inflation China is experiencing which seems to be cost push inflation due to the increases in the price of meat and fresh fruit • Demand is not totally dependent on interest rates and there are other factors that have an impact on inflation • Monetary policy can therefore conflict with economic growth and employment • There are other ways in which the Chinese Government could try and control inflation including supply-side policies • These could help to reduce inflationary pressures by helping the Chinese economy to produce more goods and services at all price levels

Type MS · Applying a percentage: interest, tax and tariffs

Answer 3 of 6 · Question 4 part a · 2 marks

2021 JUN · Paper 02 · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

Type MS · Applying a percentage: interest, tax and tariffs

Answer 4 of 6 · Question 2 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Structural A is not correct because this occurs due to seasonal factors B is not correct because this is when people choose not to work D is not correct because this is caused by fluctuations in the economic cycle	**(1)**

Question Number	What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum? **Answer**	Mark
2(b)	**AO2 1 mark** The only correct answer is: **B** £210 A is not correct because this is calculated by £7000 x 0.003 C is not correct because this is calculated by £7000 - £210 D is not correct because this is calculated by £7000 + £210	**(1)**

Question Number	State **one** advantage of free trade. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** advantage • Lower prices • Increased choice for consumers • Wider markets for business Accept any other appropriate response	**(1)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 4 of 6 · Question 2 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

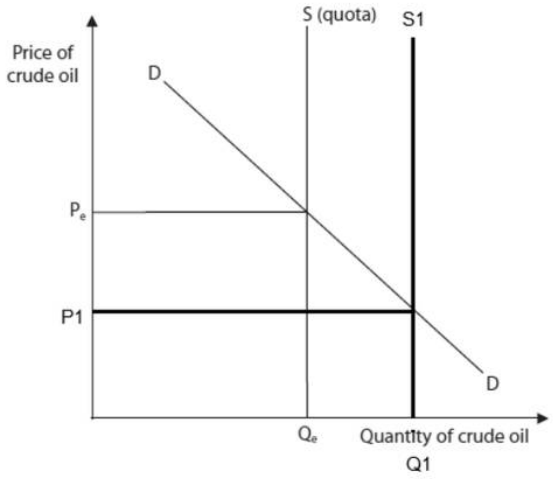
Question Number	What is meant by the term pollution permits? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to legal right and 1 mark for reference to limiting the amount of pollution They give firms the legal right **(1)** to discharge a certain amount of polluting material **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** way an airport can cause damage to the environment. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is noise pollution **(1).** Aircraft constantly landing and taking off **(1)** results in additional noise for the local residents who live close to the airport **(1)** • One way is air pollution **(1).** Fumes from aircraft landing and taking off **(1)** can cause poor air quality in the area around the airport **(1)** Accept any other appropriate response	**(3)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 4 of 6 · Question 2 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw the effect of the introduction of the new quota. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 4 of 6 · Question 2 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the effectiveness of using fines to protect the environment in a country such as the UK. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Fines are a financial penalty when a firm breaks environmental laws • Thames Water has been fined £2.3m for polluting a stream in the UK • This will therefore have a negative effect on Thames Water's profits and provide an incentive to not pollute the environment in the future • It may also harm the public image of Thames Water and therefore result in lower investment in the firm • Fines act as a polluter pays principal and the money from the fine can be used to clear up environmental damage • Fines should therefore act as a financial incentive for firms to comply with environmental laws **AO4** • However, many firms continue to pollute despite fines being levied against them including Thames Water • Thames Water has already been fined £24.4m for nine other cases of water pollution demonstrating that this has had very little impact on the firm and its actions • In order for the fine to be effective, it must be large enough to ensure firms do not pollute • Thames Water made £513.4m operating profit in 2020 so the fine is quite small in comparison to its profits • This has led to a situation where the benefits from non-compliance far outweighs the potential fines for polluting • It can take many years for firms to be fined – it has taken over 5 years to bring Thames Water to court making fines a very ineffective way of protecting the environment	**(9)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 4 of 6 · Question 2 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Applying a percentage: interest, tax and tariffs

Answer 4 of 6 · Question 2 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following is an example of Foreign Direct Investment (FDI)? **Answer**	Mark

Type MS · Applying a percentage: interest, tax and tariffs

Answer 5 of 6 · Question 1 part e · 2 marks

2023 JAN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

1(a)	**AO1 1 marks** The only correct answer is: **B** Settling trade disputes A is not correct because it does not have the power to do this C is not correct because its role is to decrease trade barriers D is not correct because this would increase protectionism	**(1)**

Question Number	Which **one** of the following is an example of a supply-side policy to increase output? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** Increasing the school-leaving age A is not correct because it is a fiscal policy B is not correct because it is a monetary policy D is not correct because it would deter investment	**(1)**

Question Number	What is meant by the term economies of scale? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to falling average costs and 1 mark for reference to expansion Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 5 of 6 · Question 1 part e · 2 marks

2023 JAN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

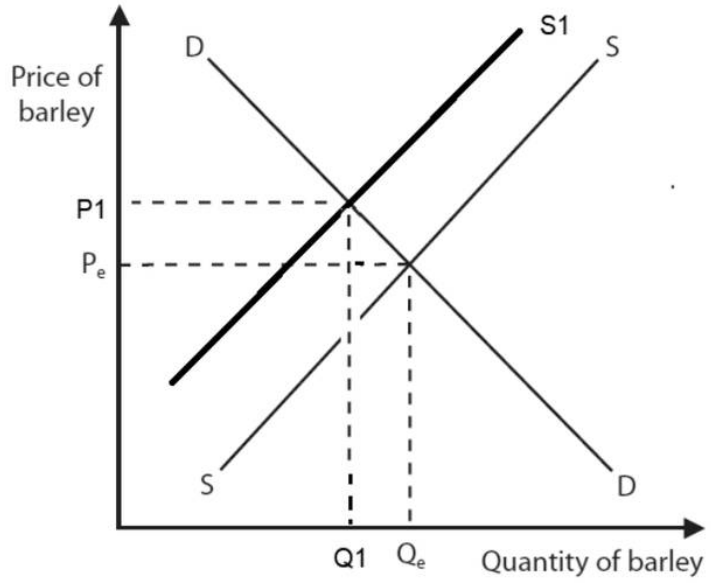
Question Number	Describe **one** advantage of free trade for consumers. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for consumers and 1 mark for development of an advantage for consumers An increase in choice **(1)** due to more foreign goods/services being imported into the country **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **net pay** in £ for Sofia. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation £22 500 x 20% = £4 500 **(1)** Award 1 mark for the correct answer £35 000 - £4 500 = £30 500 **(1)** Award 2 marks if the correct answer £30 500 is shown, with £ sign, even if no calculations are shown Award 1 mark if correct answer 30 500 is shown but with no £ sign, with or without calculations Do not award marks for the formula	**(2)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 5 of 6 · Question 1 part e · 2 marks

2023 JAN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of Australian barley. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 5 of 6 · Question 1 part e · 2 marks

2023 JAN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** reason why some people in the tourism sector might suffer from seasonal unemployment in a country such as France. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that workers are only required for certain times of the year **(1).** Tourist attractions/holiday resorts will require more workers during the holiday season **(1).** Seasonal workers are no longer needed when the holiday season ends so are therefore seasonally unemployed **(1)** Accept any other appropriate response	**(3)**

Question Number	Analyse the benefits of a current account surplus for a country such as Australia. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A current account surplus means an economy is exporting a greater value of goods and services than it is importing • Australia's current account surplus was $18.1bn in December 2020 • Australia's current account surplus benefits the country in terms of employment as higher export sales help to create jobs • This encourages economic growth and a higher GDP • This is likely to result in a higher standard of living for people living in Australia • Australia's current account surplus will mean that it will have surplus foreign exchange it can use to invest in other countries	**(6)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 5 of 6 · Question 1 part e · 2 marks

2023 JAN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Applying a percentage: interest, tax and tariffs

Answer 5 of 6 · Question 1 part e · 2 marks

2023 JAN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as: **Answer**	Mark

Type MS · Applying a percentage: interest, tax and tariffs

Answer 6 of 6 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **D** Tax rates A is not correct because this is affected by changes in the supply and demand for currencies B is not correct because this is part of monetary policy C is not correct because this is dependent on the output of firms	**(1)**

Question Number	A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year? Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **D** €5 100 A is not correct because this is the interest only B is not correct because this is calculated by €5 000/2 C is not correct because this is calculated by €5 000 - €100	**(1)**

Question Number	State **one** role of a central bank. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** function. • setting interest rates • controlling inflation • stabilising a nation's currency • lender of last resort • implementing the government's monetary policy • regulating the banking system Accept any other appropriate responses.	**(1)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 6 of 6 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

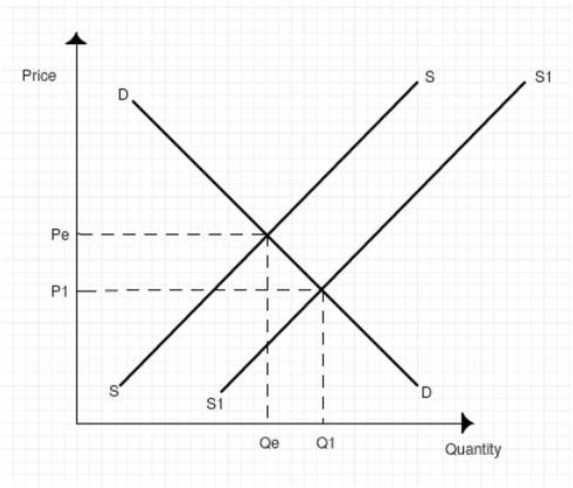
Question Number	What is meant by the term current account surplus? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to value of exports and 1 mark for reference to exceeding value of imports When the value of exports **(1)** exceeds the value of imports **(1)** Accept any other appropriate response.	**(2)**

Question Number	Explain **one** impact education and training may have on inequality and poverty. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that it can reduce inequality and poverty **(1).** Training and education can provide new skills for young people **(1)**. Therefore, they are more likely to be able to gain employment/income **(1)** Accept any other appropriate response.	**(3)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 6 of 6 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of electric vehicles. Label the new curve, the new equilibrium price and new equilibrium quantity. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 6 of 6 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the impact of infrastructure spending on the productive potential of a country such as the UK. Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Infrastructure spending is an example of a supply-side policy • The productive potential of the UK economy may increase if the quality of its infrastructure is improved • The UK Government is investing in a wide range of projects including urban transport and the provision of broadband to hard-to-reach areas • This may help to increase geographical mobility as well as improve the distribution of goods/services • In the short term, building or upgrading transport can boost (aggregate) demand through increased construction activity and employment • In the long term, infrastructure investment can boost economic growth by attracting investment and increasing the potential supply capacity of an economy **AO4** • However, it can be argued that spending £130bn on its economic infrastructure may not be that effective in increasing the total output in the UK economy • It is unclear how the UK Government will fund this investment and it may have to borrow the additional finance and could result in a fiscal deficit • There is an opportunity cost of these investments with no guarantee that total output will increase in the long term • By nature, supply-side policies tend to take a very long time to work and infrastructure investments can be highly complex to manage • The overall impact on output will depend upon whether the planned spending can add to (aggregate) demand and (aggregate) supply	**(9)**

Type MS · Applying a percentage: interest, tax and tariffs

Answer 6 of 6 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Applying a percentage: interest, tax and tariffs

Answer 6 of 6 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	A decrease in unemployment is likely to result in Answer	Mark